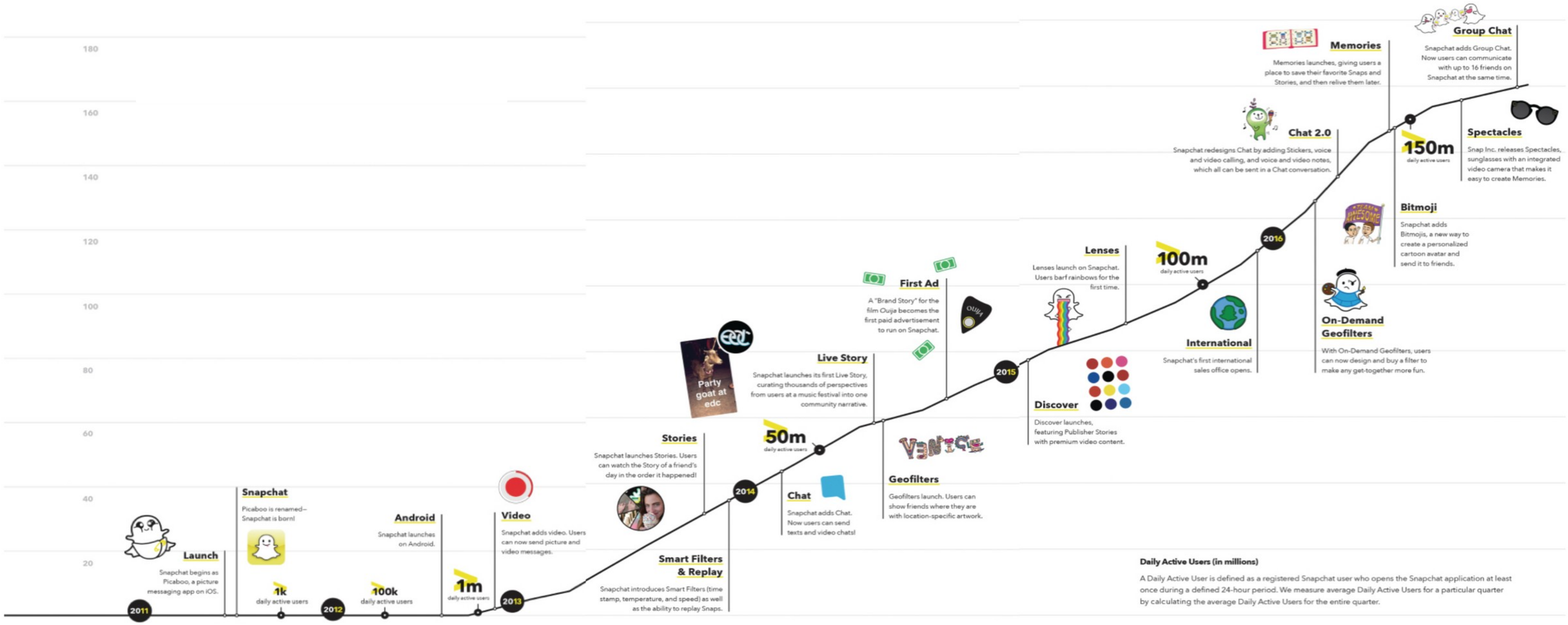
Oh Snap!

Agenda

- Situation
  - Timeline
  - Business Model
  - Challenges & Opportunity
- Research
  - STEEP Analysis
  - Four Actions Framework
- Analysis
  - Strategy Palette
  - Should they move?
- Recommendations
  - Strategy Recommendation
  - Should GCI invest?

Situation

Disrupting the social media space since 2011



https://9to5mac.com/2017/02/02/snap-snapchats-parent-company-files-for-3-billion-ipo/

Snap Inc Business Model

- Users
- Content Creators
- Advertisers
- Tech Partners

KEY PARTNERS

DATA

CONTENT

- Cost of revenue
  - Infrastructure
  - Content
  - Revenue sharing
  - Inventory (Spectacles)
- Marketing
- R&D

COST STRUCTURES

- Engage Users
- New Features
- Expanding to New Markets
- Locate friends
- E-commerce

KEY ACTIVITIES

SUBSCRIPTION

CONTENT

PRODUCTION COSTS

CONTENT

- Marketing Ad revenue
- Spectacles
- Snapchat +

REVENUE MODEL

Users – Self-expression, Exploring world, share stories with friends
Business – Fun advertisements, Brand awareness among youth

VALUE

- Application
- Fresh photos
- Lenses/filters
- Discover content
- User Data

KEY RESOURCES

- High Penetration young segments
- Urban biased
- Mailbox delivery channel

CUSTOMER SEGMENT

Breakout points - Leadership in AR & Snapchat+

SWOT Analysis of SNAP Inc

STRENGTHS

- High customer engagement
- More Privacy
- Unique software
- Userbase (347m DAU)
- Demonstrated leadership in Augmented reality

WEAKNESSES

- Insufficient technical capabilities
- Inadequate budget; no cashflow for Zenly
- Current low perceived value of streaming media
- Heavily invested in ad revenue
- Lack of diversification
- Changing customer behavior

OPPORTUNITIES

- Invest in the future of augmented reality
- New Revenue Sources (Snapchat+, Spotlight, Snapmap)
- Ad platform improvements
- Growing demand for privacy

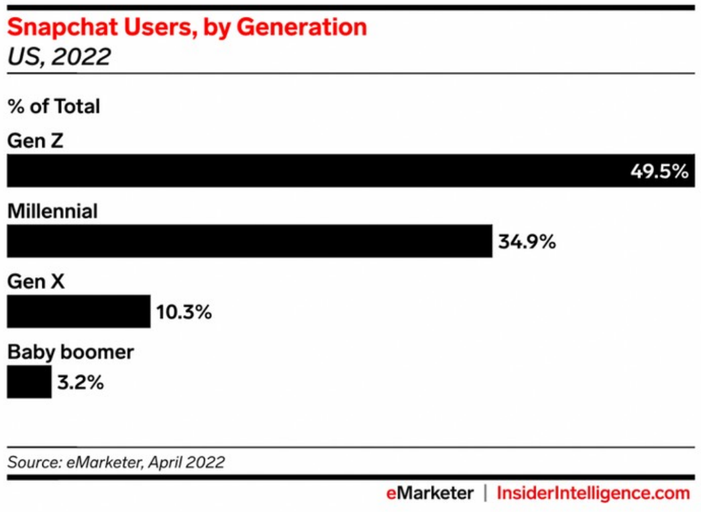
THREATS

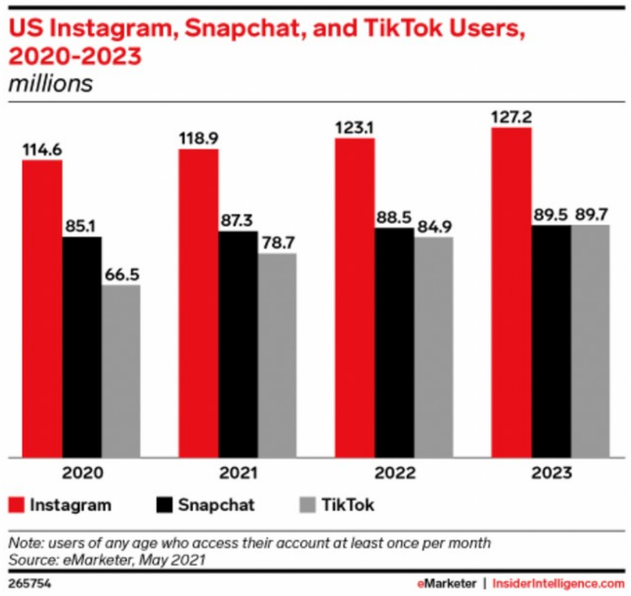
- Tiktok intruding on Snapchat's user demographic
- BeReal's idea of promoting your authentic self.
- Macroeconomic challenges
- Policy changes to advertising industry standards
- Increasing competition for ad dollars

Research

STEEP - Social

- Snapchat’s Gen Z users at **42 million in the U.S.**, compared to **37.3 million for TikTok**.
- Nearly **50% of Snapchat's U.S. users are under the age of 25**
- New Feature "Family Center"
- Users have a **much smaller network on snapcha**t compared to Facebook/Instagram
- Snapchat: no pressure of likes, comments or permanence
- "The Social Dilemma"-> **prioritizing authenticity and privacy**
- Snap Study: 94% people are expecting to use **AR for shopping purposes**





https://www.insiderintelligence.com/content/more-us-gen-zers-now-use-tiktok-than-instagram
https://www.insiderintelligence.com/content/will-difficult-renew-snapchat-s-fortunes-but-snap-has-plan
https://snap.com/en-US/safety-and-impact/post/family-center
https://www.wpp.com/news/2021/09/wpp-and-snap-inc-launch-augmented-reality-partnership

STEEP - Technology

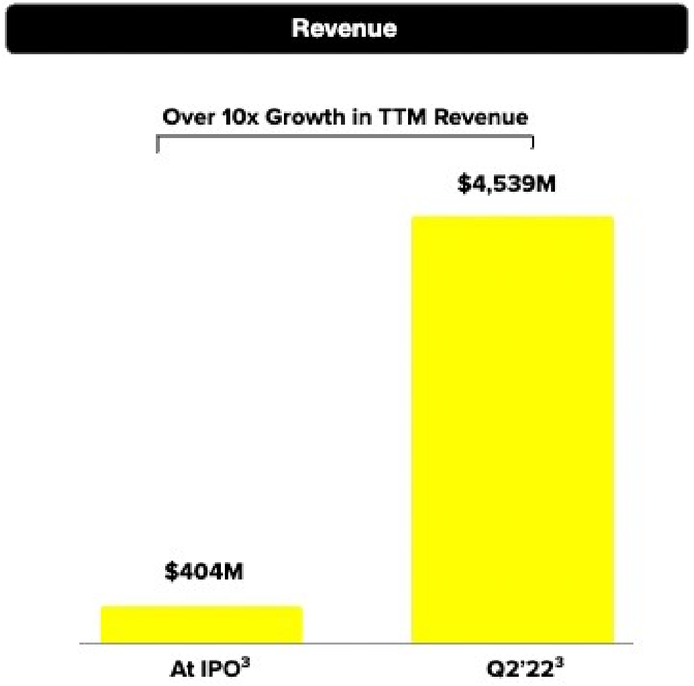
- August 31, 2022 - **20% reduction** in workforce & Zenly was shutdown to focus on Snap Map.
- Zenly currently has **35 million monthly active users**.
- Snap Spectacles - Introduced in 2016, can bring Snap's world of augmented reality anywhere for boundless creativity and exploration.
- Ad Platform Improvements - Measurement solutions and immersive campaigns.
- Augmented Reality - Creation (Lens Studio) -> Distribution (Spectacles, Camera Kit, Snapchat) -> Backend (Lens Cloud)
- Snap also made key strategic partnerships to integrate its technology and AR features with companies such as the dating app Bumble, Ticketmaster and Disney.
- 2021 Acquisitions - Vertebrae, WaveOptics, Fit Analytics, Pixel8Earth, NextMind

https://investor.snap.com/events-and-presentations/presentations/default.aspx
https://tracxn.com/d/acquisitions/acquisitionsbySnapchat
https://techcrunch.com/2019/11/12/snapchat-spectacles-3-review-pretty-pricey/

→

STEEP - Economical

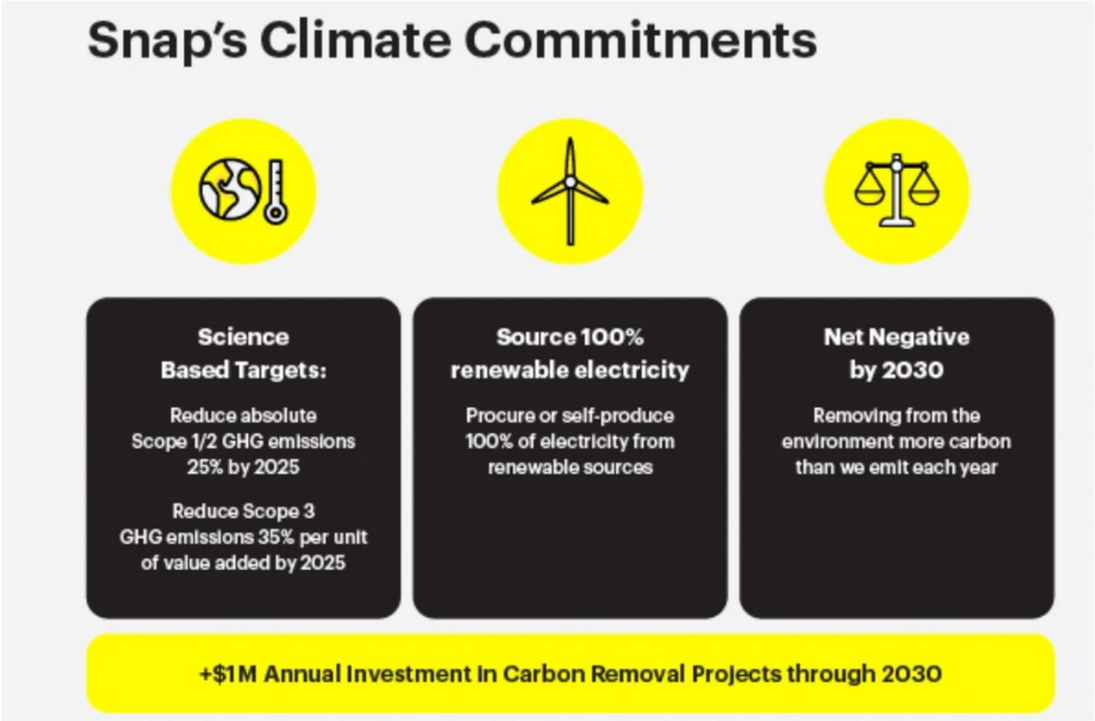
- Snap outlined plans to expand revenue to **$6 billion in 2023** and revenue is forecast to grow 16.6% per year.
- AR Spectacles - priced at $380 for "Spectacles 3" and new sources of revenue: Spotlight, Snapchat+, Snap Maps.
- High inflation and rising interest rates are disrupting many industry segments that are critical to growing ad demand.
  - Inflation rate **at 8.5% for July 2022, down from 9.1% – a 40-year high** – a month earlier. A higher inflation rate would lead to a lower disposable income, and thus could lead to lower overall expanding, which could harm businesses and companies, as well as lower consumer confidence.
  - The Federal Reserve enacted its second consecutive 0.75 percentage point interest rate increase, taking its benchmark rate to a range of **2.25%-2.5%.** This business loan would be used for purposes of growth and development and none of this is good for growth stocks like Snap.



https://www.forbes.com/uk/advisor/personal-finance/2022/09/14/inflation-rate-update/
https://www.businessofapps.com/data/snapchat-statistics/

→

STEEP - Environmental



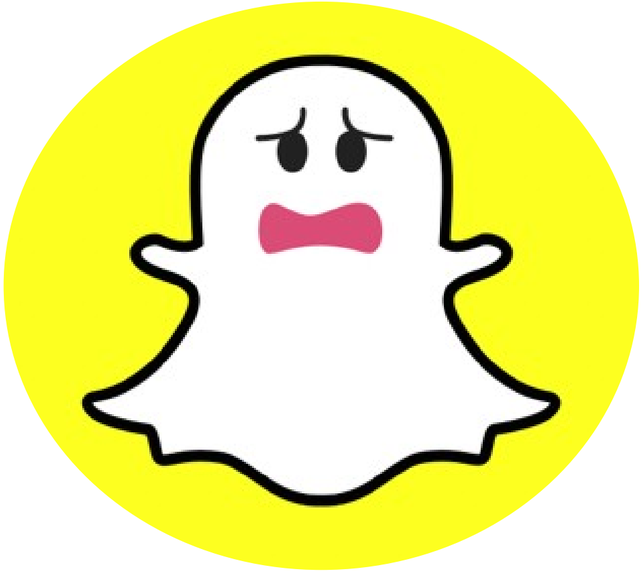
- Minimizing environmental footprint of spectacles across their lifecycle
- **Joined the Climate Pledge** on October, 2021
  - Snap committed to achieving **net-zero carbon emissions**, and will be going beyond net-zero to make Snap net-negative by 2030
- **+$1M Annual Investment in carbon removal projects** through 2030.

https://newsroom.snap.com/snap-climate-strategy-net-zero/
https://citizen.snap.com/en-US/planet

→

STEEP - Political

- July 18, 2022- US Democrats introduced a new bill **"Banning Surveillance Advertising Act"**
- In 2021, Apple **imposed new privacy rules for app makers** that curbs their ability to collect data on users for the purposes of targeted advertising
- March 1, 2022- **Snap ceased its advertising sales to all Russian and Belarusian entities** and complied with all sanctions imposed on Russian businesses and individuals.



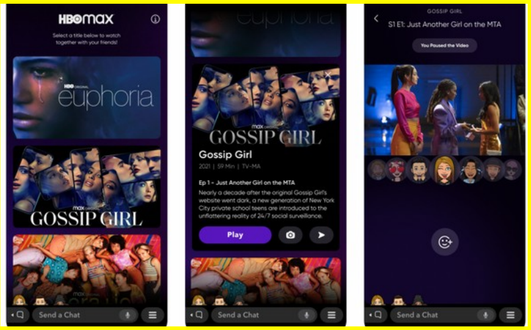
https://btlj.org/2022/04/the-banning-surveillance-advertising-act-what-the-clampdown-on-targeted-advertising-means-for-the-internet-economy/
https://www.engadget.com/snapchat-pauses-ads-russia-belarus-ukraine-124008244.html
https://qz.com/1997873/apples-idfa-privacy-update-threatens-to-upend-the-ad-industry/

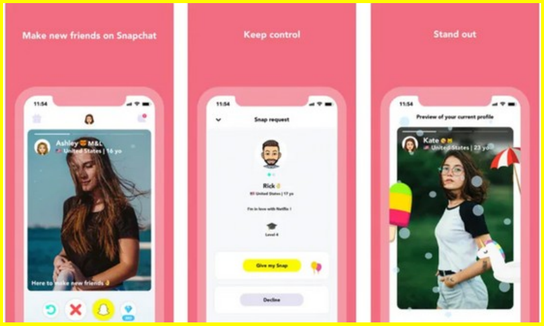
Analysis

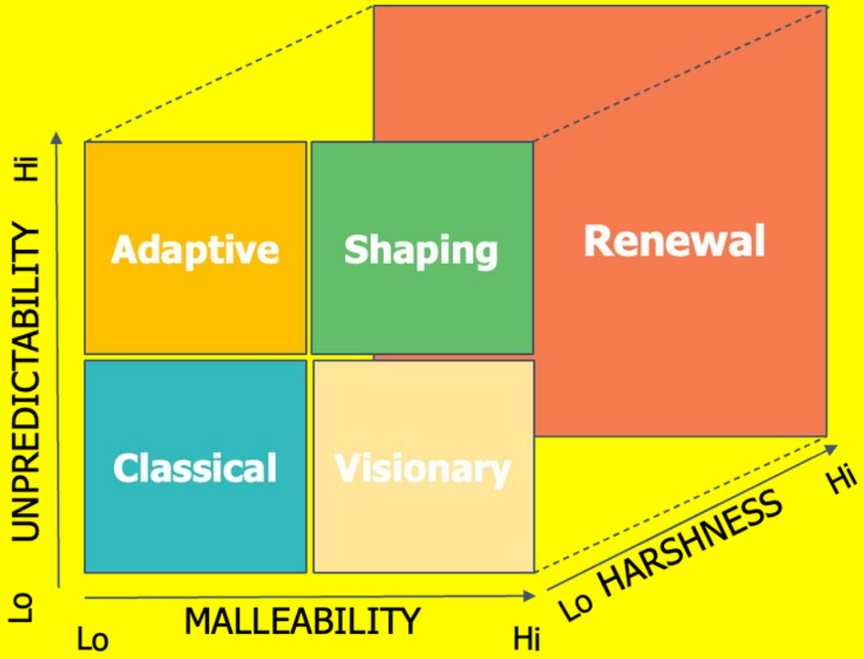
Currently in the midst of Adaptive and Shaping

Attempts to shift towards a shaping strategy

Collaborations in AR with Vogue, HBO Max, Tinder and other projects

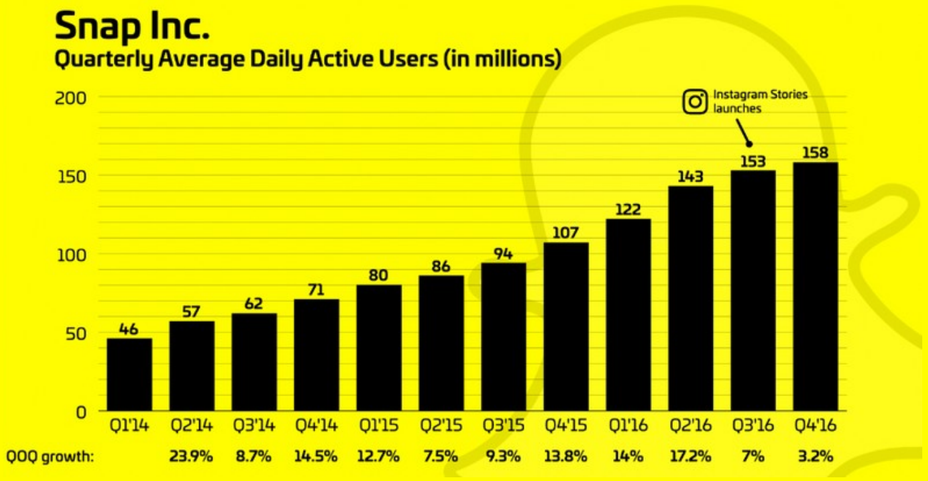






Not fully transitioned

- 99% of revenue comes from Ads
- Easily affected by competitors
- Put major investment on research and innovation, but can be easily copied by Instagram



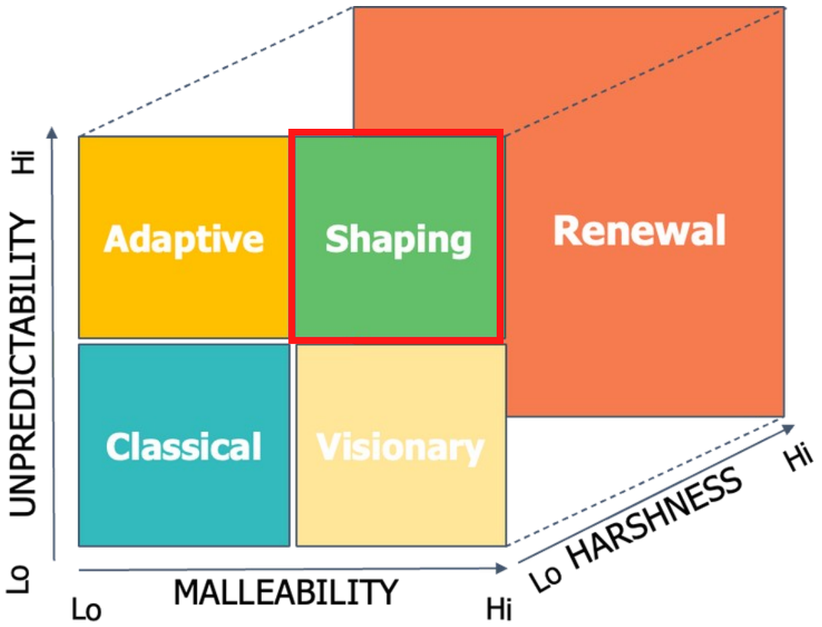
Snap should move to Shaping

Be supported and Prepare for the future

- Fail in sunglasses: Snap lost nearly $40 million on unsold Spectacles
- AR's future is not on mobile

Minimize the loss in competition

- Expanding reach for older people
- More revenue source



Recommendations

Augmented Reality - Future of Social Media

- **CAGR of 40.9%** for the Augmented Reality market in the US, 2022 – 2030
- **110.3 Mn** users in Augmented Reality by 2025

Raise

Investment in AR research and development to improve their product specifications (e.g. current battery life of spectacles is just 30mins)

Create

Products and features on AR technology and integrate these features with the fashion and e-commerce world

Augmented Reality

Eliminate

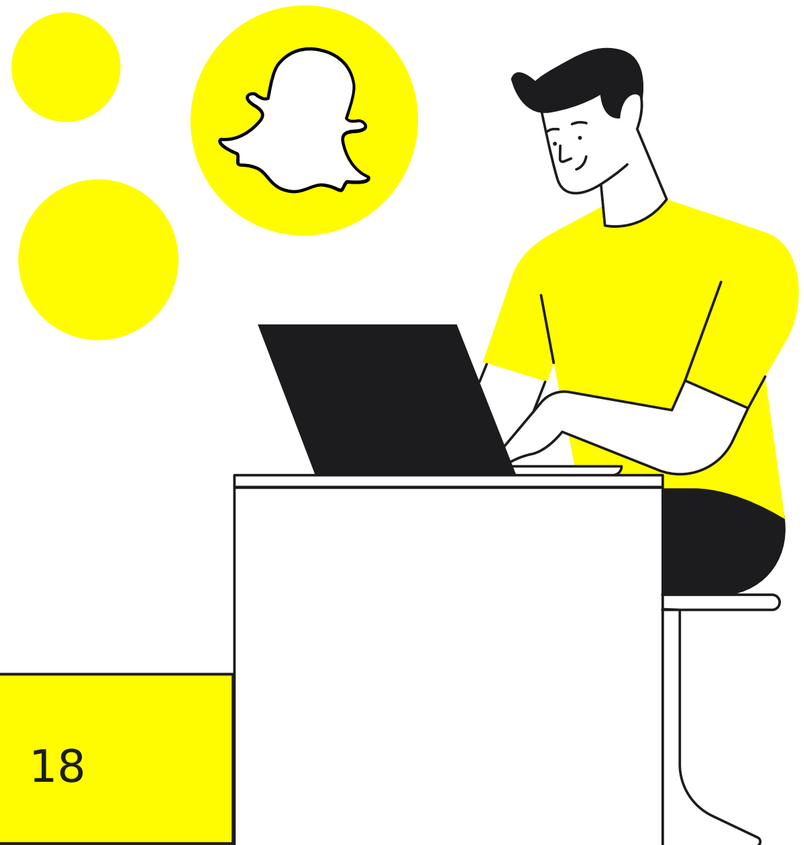
Resources working on subsidiary products (e.g. eliminating investments and projects not focused on vision)

Reduce

Dependency on Ad only revenue
Investment in real estate and overhead functions to drive operating leverage

https://
www.grandviewresearch.com

Strategic Recommendations



Diversification

Increase scalability by expanding reach and engagement for older people (above 34 years); e.g., developing features in family center tool

Leadership in Augmented Reality

Continue investing heavily in the future of augmented reality and explore relevant avenues to emerge as leaders in AR Technology

Improvements in Ad Platforms

Build new models to drive direct response advertising business, continue building out the most interactive and engaging ad formats in the market

Collaborations and Acquisitions

Implement technologies from acquired companies to innovate within the AR space -> first to market

Partner with retailers for an immersive shopping experience (ex: exercise, furniture, clothing apparel, accessories)

Thank you!